

and components availability we started working on building an ecosystem here in India itself.

The last eight years have all been about significant vertical integration for VVDN. We are now manufacturing complete electronics via multiple SMT lines, product assembly lines in our factories. We have also got rid of the mechanical dependence by starting our own moulding and die-cast facilities, among others.

The key to our success has been identifying and addressing areas where we were dependent on others. The thought process has always been to do everything in-house. We have been creating products and solutions that can attract local as well as international consumers, which has enabled us to create a global ecosystem for our customers.

The complex products we are working on today involve Wi-Fi access products, network switches, 5G base stations, IoT products, products for electric vehicles, sensors, and more. I am grateful that we have been able to create an end-to-end ODM story in India.

What's the secret of VVDN's success?

There are at least three points that have helped us.

First, we began with creating a right pool of talent that should be able to believe that a lot of core innovation and IP could happen in India. In simpler words, we knew from the beginning that we will have to innovate ourselves. For example, we started investing in innovating 5G products four years ago. We had the IPs for the same long time ago, but we didn't have any customers for them.

We just invested in creating a team that could work on creating the IPs, and once the IPs were created in about two years' time, these behaved like magnets to attract customers. Mind it, it's not easy putting together an excellent product engineering team in India.

The second thing is the prowess to create prototypes and working samples quickly so that you can deliver these for validation to your potential customers and existing customers. How much you can do in-house is also a factor that plays a major role. The vertical integration that we have done during the last few years has enabled us to deliver working samples within weeks.

The third thing is talking about manufacture of products irrespective of their size (a small Bluetooth headband or a 5G base station). The kind of machinery and equipment we have invested in has allowed us to manufacture these products from the same factory.

VVDN's Secrets to Success!

1. Staying ahead of time by knowing market trends and what the customer might be looking for next.
2. Collaborating with universities in India and hiring students before they complete their studies.
3. Partnering with silicon companies and getting early access to yet-to-be-launched silicon.
4. Establishing R&D labs in universities and colleges and giving students complete access to the same.
5. Inviting potential customers for one-on-one conversion.
6. Visiting the brands for meetings instead of merely following up on phone.
7. Investing in building an ecosystem for product development in India.
8. Hiring international teams for managing operations in countries like the USA, Taiwan, and South Korea.

The last one is our strategic tie-ups with universities. We have done it really well. In Coimbatore we have a complete VVDN campus inside a university. We have a team of 500 people there and the University is hosting us for the entire R&D. We also hire from that University. Most of the people hired from such universities are given roles in the innovation and IP teams.

We are in the process of replicating that model in tier II and tier III cities as we believe that the focus on R&D and innovation is more in such cities. Please note that we offer jobs to students of such universities while they are completing their PhD or MTech. We strive to keep ourselves ahead of time.

How many IPs are owned by VVDN for design and manufacture?

The products are always tied to a brand; that is what an ODM is about. ODMs are never about owning a brand. When you talk about a product, it has many components, it has software and many other things. What matters to our customers is time to market.

For example, if an organisation wants to launch a product in the market, its first ask will be how soon can we give them the product and get into manufacturing from concept stage. That is where we use the tons of IPs that we have created at VVDN. To answer your question, every product that VVDN develops has some IP and knowledge that is created in-house by the VVDN team.

We give our customers the right to own the product IP, but within that product there are certain other IPs that are owned by the VVDN team. These IPs are used to manufacture and engineer products at VVDN.

How do you create IPs? What's the overall market research approach of VVDN?

IPs help you stay ahead of time,

and we do it in two ways.

One is our partnership with silicon companies like Intel and Qualcomm. It is a simple fact that if a new silicon is coming up then these companies have put in a lot of effort to develop that. By working closely with such companies, we get access to a lot of information, which is an indicator of where the market is headed.

The second area is the work done by in-house marketing research teams. These teams are clubbed with technical evangelists. Every marketing research team at VVDN has at least one technical evangelist. Their responsibility is to find synergies between what the customers are looking for and what we are developing. It is their responsibility to find gaps between what has been asked for and what we can deliver.

How much of your revenue do you dedicate towards research?

Right now, about 25 percent of our revenue is going into research on an annual basis.

How do you attract brands to do business with you? Does branding help?

Yes of course, branding always helps. However, converting any opportunity from a brand to real business is a different thing; it is a complete lifecycle. You have to take it through several steps of working on the product. Then comes understanding their needs and their time to market. Finally, making sure that the relationship is long-lasting.

We have dedicated business development teams in different regions. We also invite CXOs of our customers to our facilities and show them around. I cannot recall a single invitation which has not landed us any contract. The way we have set it up makes it easier for customers to compare what we offer. Let me tell you clearly that what we present in the media is not even ten percent of the actual abilities we possess.